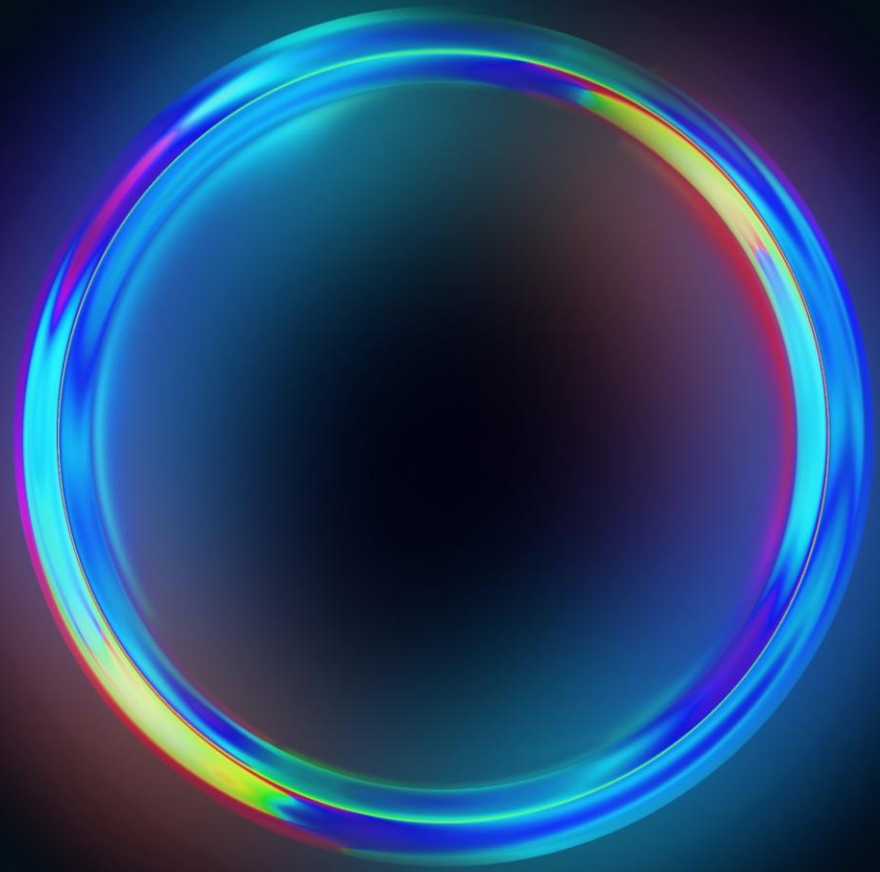
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AI by McKinsey

AI in Private Capital – Fund-level transformation



CxO discussion document

October 2026

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Executive Summary: Our core beliefs on AI for next generation GPs



Where we are today

AI adoption is real but fragmented, with over 80% of GPs reporting impact from AI (though only 2% report transformative impact)

Value is emerging across all domains, with early impact strongest in:

- **Capital formation:** fundraising, and LP servicing
- **Investment process and portfolio management:** sourcing, screening, diligence, and IC
- **Support functions:** legal, finance, technology

Only 35% of firms are measuring AI impact today, reporting **both improved productivity** but now also benefitting from **higher quality insights / decisions**

Most of the impact is being driven by generalist AI tools (e.g., Claude and GPT), with AI-native investor solutions struggling to gain traction among GPs



The promise of AI tomorrow

Timelines for impact are moving in; 28% of GPs expect transformative impact in the next 3+ years (vs. 18% last year)

Value will come from three areas:

- **Doing the same better or quicker** (e.g., Capital formation: quicker personalized LP engagement, Investment: earlier red flag identification, Support functions: automated reporting)
- **Doing the same more often** (e.g., Capital formation: broader LP coverage, Investment: more frequent diligence of assets throughout the hold, Support functions: higher frequency monitoring and controls)
- **Doing new things or reimagining work entirely** (e.g., Capital formation: LP-fit intelligence in investor relations, Investment: long-tail sourcing, continuous customer diligence, Support functions: agentic finance and autonomous back-office workflows)



How to get there

Achieving this promise requires redesigning end-to-end workflows, rather than simply investing in AI use cases

We believe five principles will separate leaders:

- **Reimagine journeys, not isolated use cases** (e.g., capital formation, investment lifecycle, support functions)
- **Anchor investment to measurable value** with clear KPIs and rapid iteration
- **Build a differentiated data advantage** by codifying institutional knowledge
- **Design for adoption** by augmenting investor workflows, not replacing them
- **Build modular capabilities** that scale across teams, strategies, and regions

Source: 2025 and 2026 editions of McKinsey State of AI for Private Market Investment Teams Survey

Vision for the future – AI-native funds enabled by an AI enabled front office and a fully autonomous back office

Investment process driven by humans with AI superpowers



AI continuously develops the firm's view of investors, markets, companies and the portfolio, identifying opportunities, performing analyses, and challenging perspectives**; humans focus on relationships, differentiated insight and decisions requiring judgement**

2–3x
qualified deal flow

25–35%
diligence time savings

15–25%
fundraising conversion lift

Low-touch back office, powered by autonomous workflows



Support functions are rewired into an AI Agent Factory, where **autonomous workflows execute and orchestrate end-to-end operations** across Finance, Legal, HR, Compliance, and IT

20–30%
reduction in manual work

30–40%
potential cost reduction across back-office functions

Reaching this ambition will be a multi-year journey; most fund are still at its first stage



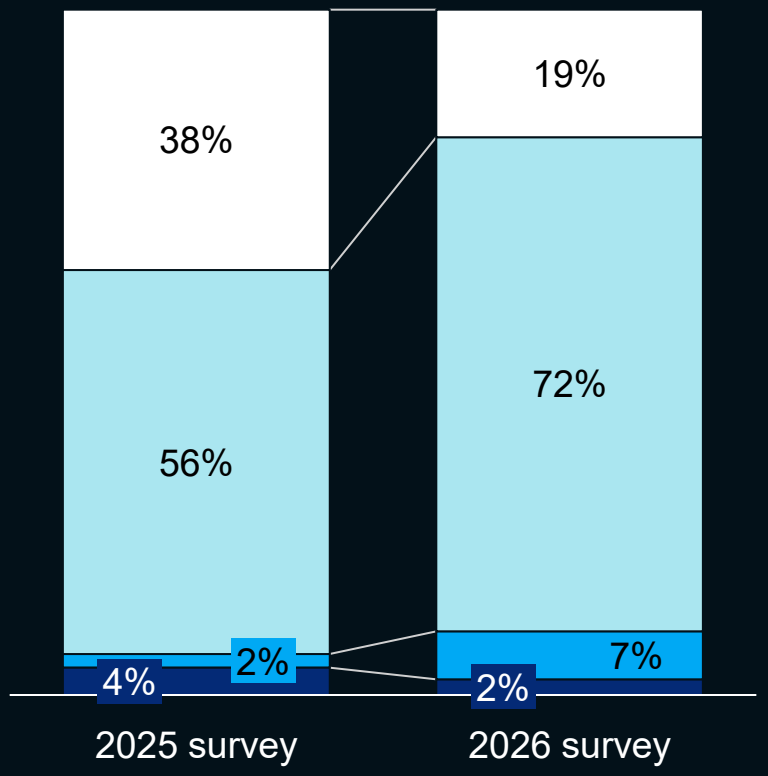
Overview	Stage 1 - AI for personal productivity	Stage 2 - AI for workflow reimagination	Stage 3 – End-to-end AI-native fund
Approach	• Tool-focused • Broad access to GenAI for personal productivity	• Journey-and domain-focused • Re-imagine core operating workflows	• Platform-and data-focused • Integrate proprietary AI capabilities
Outcome	• Minimal time savings (~5-10%) • Time can be redeployed to other tasks • Rarely translates to cost savings or increased returns	• Meaningful efficiency gains in redesigned workflows • Some capacity release possible • Increased effectiveness via enhanced error detection	• AI becomes a source of competitive differentiation • Meaningful capacity release • AI enhanced operating model enables and enhances investment edge
Typical capabilities	• ChatGPT, Claude, Gemini • Microsoft Copilot • Document drafting • Research assistance • Personal workflow automation and skills libraries	• Investment copilots • Workflow automation • Portfolio value creation assistants	• Proprietary data and investment platform • Multi-agent investment workflows

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Impact is emerging but moderate - 80% see some impact from AI today, and 28% expect transformative impact in next 3-5 years

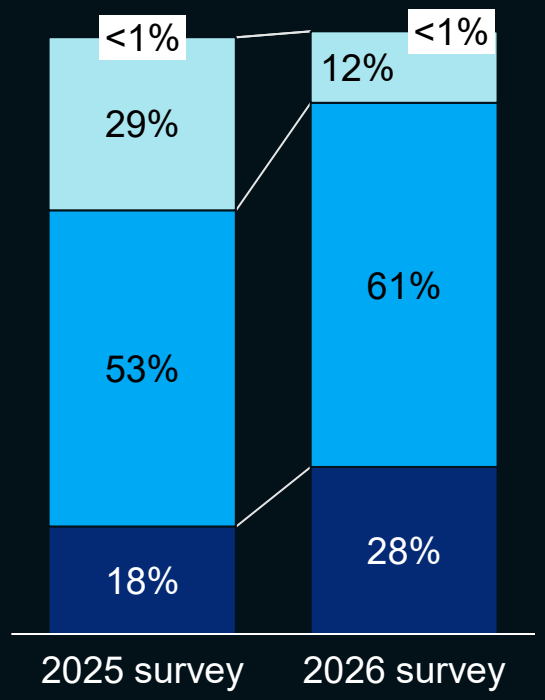
Transformational | High impact | Moderate impact | Limited impact

~80% are seeing impact from AI now, but still only 2% self-report transformational impact

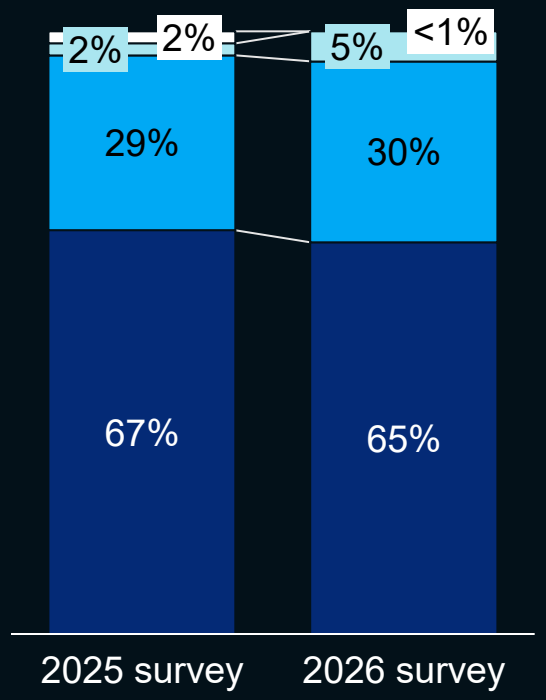


Impact timelines appear to be accelerating, however; 28% expect transformative impact in next ~3-5 years

In 3-5 years



In 5+ years

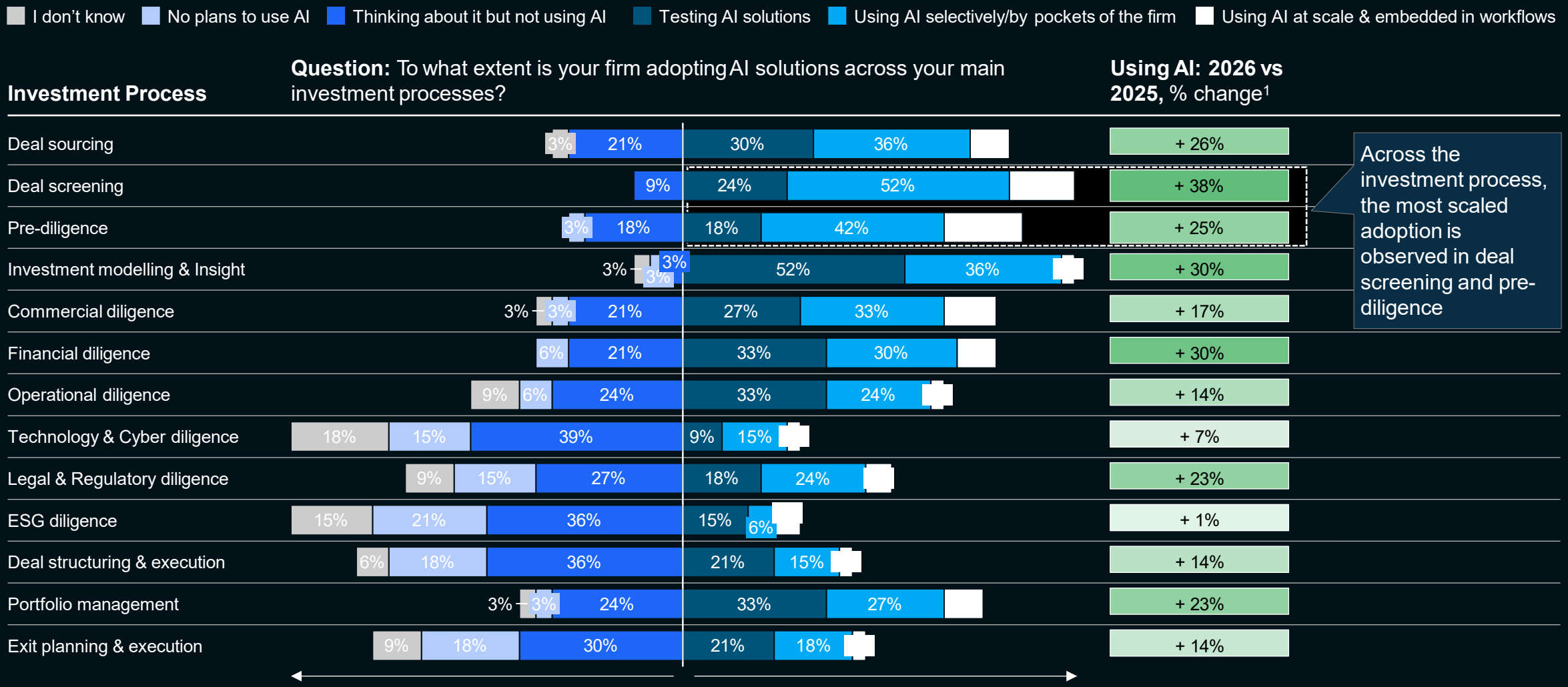


Question: What is the scale of impact you expect from AI across investment processes today and in the future?

Source: 2025 and 2026 editions of McKinsey State of AI for Private Market Investment Teams Survey

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Despite overall increases in AI usage, scaled adoption is limited with most firms still only testing or selectively using solutions

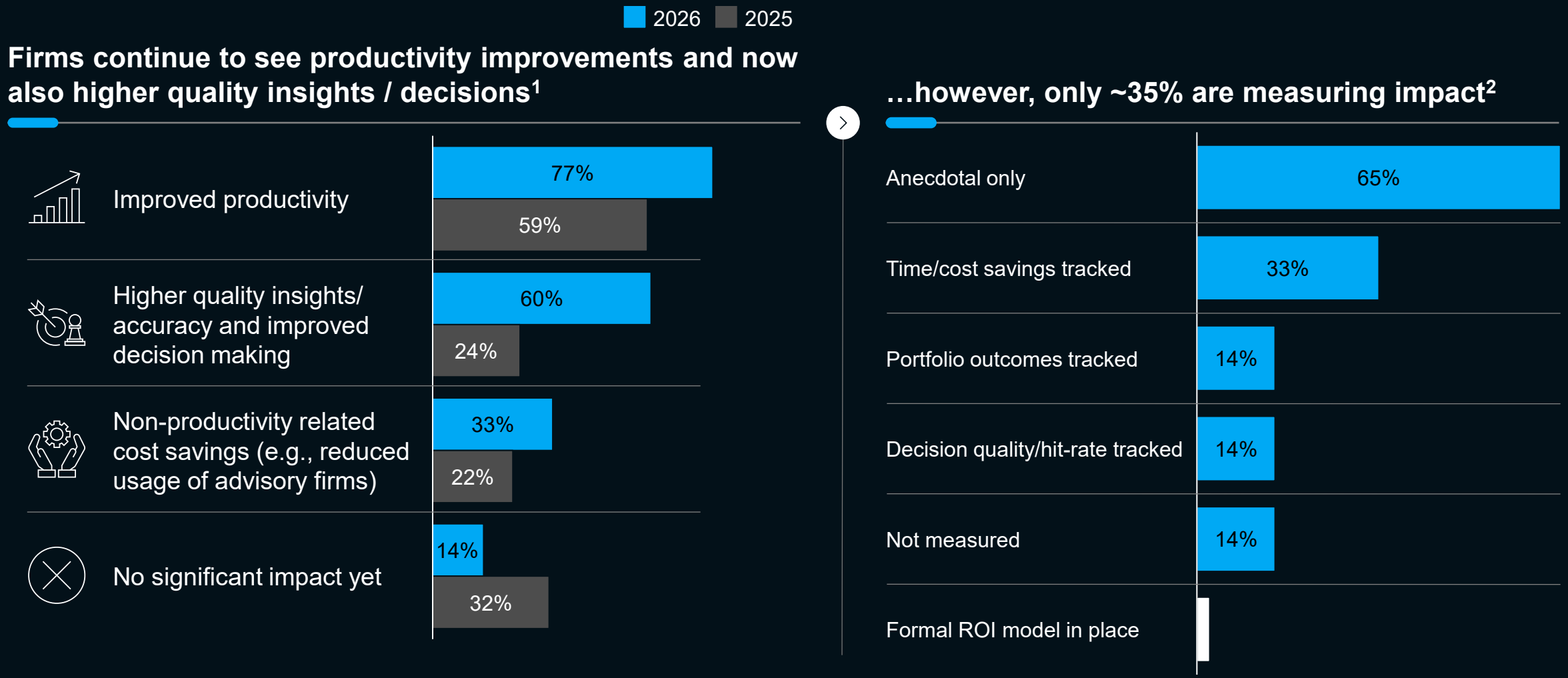


1. % change from 2025 to 2026 for respondents who answered "Using AI at scale & embedded in workflows" or "Using AI selectively / by pockets of the firm"

Source: 2025 / 2026 McKinsey State of AI for Private Equity Investment Teams Survey

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Impact measurement is spotty at best; for those that measure, productivity improvements are most prevalent and but quality insights improvement is on the rise

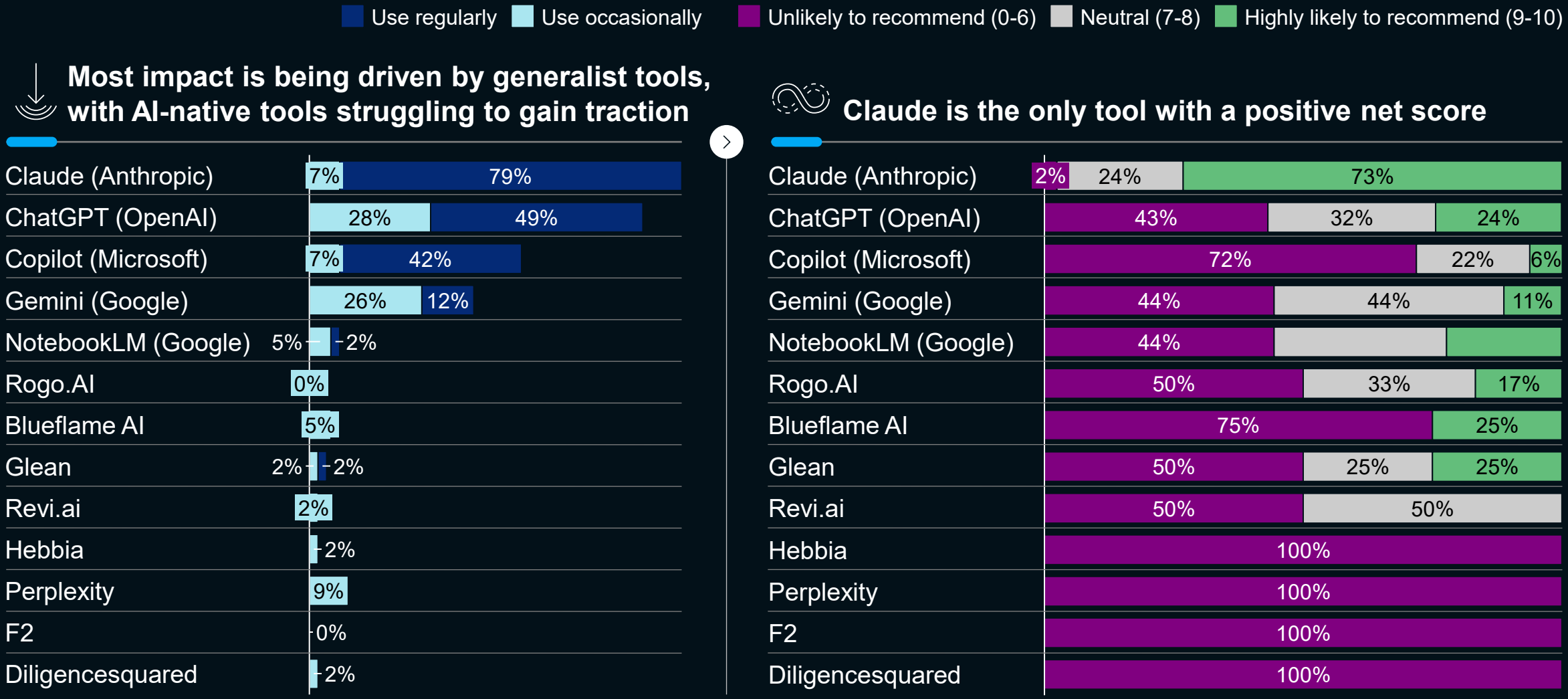


1. **Question:** What are the main impact types you're seeing? /// 2. **Question:** Which of the following statements best reflects how you measure AI impact today?

Source: 2025 and 2026 editions of McKinsey State of AI for Private Market Investment Teams Survey

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Most AI point solutions are struggling to gain traction – most real impact being driven by generalist AI tools



Source: 2025 and 2026 editions of McKinsey State of AI for Private Market Investment Teams Survey

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GPs can drive transformational impact across 3 core domains by leveraging AI in core workflows

1
Capital formation

More investors are engaged, with a higher degree of personalization, and with less manual effort required, yielding improved fundraising conversion

15–25% ***improved fundraising conversion***

2
Investment process and portfolio management

AI performs much of the base analysis and continuously develops and challenges the investment case – investment teams focus on judgement and decision-making

2–3x ***increase in qualified deal flow; faster, more consistent IC decisions***

3
Support functions

Routine operational work is low touch and happens in background, improving operating leverage and enabling teams to focus on oversight, judgement, and client service

20–30% ***reduction in manual work, driving improved operating leverage***

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These 3 core domains can be broken into multiple key journeys, which are being impacted by AI

Domain	Journey	What we typically see	Potential impact from journey re-design
1. **Capital formation**	**Investor lifecycle** (RFP → onboarding → reporting)	Repeated recreation of the same data across teams is the single largest source of inefficiency	30–50% faster turnaround times; meaningful reduction in manual effort; improved client experience
	Client service lifecycle (inbound → triage → resolution → feedback)	A large share of hidden workload sits in unstructured, cross-team service requests	20–40% productivity gain via workflow routing, automation, and service tiering
2. **Investment process and portfolio management**	**Investment lifecycle** (sourcing → screening → diligence)	Deal flow is relationship-driven and screening is inconsistent, creating noise, bias, slow IC cycles	2–3x increase in qualified deal flow
	IC decisioning (thesis → IC preparation→ decisioning → evolution of thesis)	ICs rely on static approval packs and manual point-in-time diligence, making decisions slower and more variable	Faster, more consistent IC decisions; improved hit rate and conviction in underwriting
	Portfolio lifecycle (data collection → monitoring → valuation → review)	Highly manual, non-standardized workflows across deal + ops teams are structurally unscalable	25-30% workload reduction; 2x faster cycles; enables higher-frequency valuations without added cost
3. **Support functions**	**Fund & capital lifecycle** (capital allocation → liquidity management → treasury → distributions)	Capital allocation, cash visibility, and treasury activities are fragmented across deal, fund, and finance teams; heavy reliance on manual tracking	50–150bps IRR uplift from reduced cash drag and improved deployment timing
Data - Cross-cutting enabler	**Data lifecycle** (sourcing → ingestion → governance → consumption)	Fragmented, ungoverned data creates systemic inefficiency across every core workflow	Unlocks automation at scale and structurally resets the cost curve

1. Capital formation | AI can reset the fundraising productivity curve across effectiveness, efficiency, and awareness



Effectiveness

How do we win more capital?

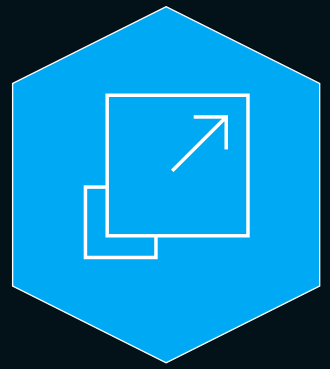
Example impact

Priority LP meeting-to-commitment conversion:

20% → 23–25%

15-25%

Conversion lift



Efficiency

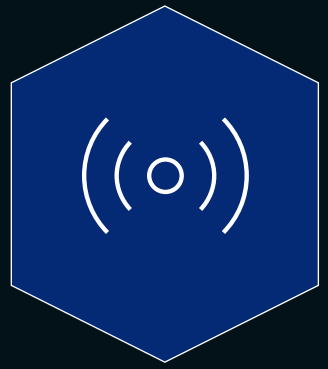
How do we scale IR efficiently?

Active raise-equivalents supported per IR FTE:

2.0 → 3.0

+50%

IR capacity



Awareness

How do we shape the way LPs see us?

Share of voice for priority LP research prompts:

15% → ~40–50%

2-3X

AI discoverability

2. Investment process & portfolio management | AI will deliver value across each stage of investment and portfolio management








	Deal Sourcing	Deal Screening	Due Diligence and IC Approval	Deal Closing	Portfolio & asset management	Exit
Current challenges	**Relationship-driven sourcing limits coverage; fragmented market intelligence; manual target identification**	**High volume of opportunities; inconsistent evaluation; time-intensive company research**	**Knowledge dispersed across teams; manual synthesis of diligence findings; lengthy IC preparation**	**Manual coordination across legal, finance, and advisors; repetitive documents**	**Reactive monitoring; manual reporting; limited scalability across portfolio companies**	**Market monitoring and buyer identification are manual; exit preparation is resource intensive**
AI-enabled future state	**Continuous market sensing with AI surfacing attractive companies, themes and relationships**	**Standardized, AI-assisted screening that rapidly prioritized the highest potential opportunities**	**Consolidated internal and external knowledge to support faster, more evidence-based investment decisions**	**Automated transaction workflows with AI coordinating documents, milestones and approvals**	**Continuous performance monitoring with proactive recommendations and value creation opportunities**	**Continuous assessment of market conditions and preparation for optimal exists**
Sample use cases	**AI-Enhanced Deal Scanning:** GenAI can scan and prioritize potential targets using machine learning models	**Automated Company Profile Creation:** GenAI can create detailed company profiles	**Virtual IC:** AI tools can simulate IC discussions, provide data-driven recommendations and improve decision-making	**Automated Deal Structuring:** GenAI can assist in structuring deals by analyzing market trends and legal requirements	**Automated Monitoring and Reporting:** GenAI can automate portfolio monitoring and generate performance reports with real-time signals	**Market Analysis and Buyer Profiling:** GenAI can analyze market conditions and profile potential buyers, identifying optimal exit strategies

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3. Support functions | AI is helping reimagine a new operating model across major GP support functions

	HR	Finance	Legal	Fund operations	IT	Professional services
Current challenges	Manual talent processes limit workforce visibility and employee experience	Manual reporting, fragmented data and periodic decision making slow the finance function	Growing document volumes, regulatory complexity and manual legal workflows reduce scalability	Manual, fragmented fund admin and reporting across multiple systems, service providers and fund structures	Legacy applications, fragmented data and growing technology complexity	Heavy reliance on external advisors with limited knowledge reuse and inconsistent delivery
AI-enabled operating model	AI-enabled workforce planning, employee services and talent intelligence	Real-time finance with continuous planning, automated workflows and decision support	Workflow-first legal function with AI embedded across drafting, review and legal knowledge	Intelligent ops with automated workflows, real-time fund intelligence and exception-based oversight	AI-native technology platform enabling agents, automation and enterprise knowledge	AI-augmented delivery model combining internal experts, external advisors and AI agents

Typically, PE firms start by quickly defining AI strategy & roadmap, followed by a pragmatic implementation model

	Phase 1: Strategy	Phase 2: Implementation		
	Strategy & discovery	**Explore**	**Scale**	**Accelerate**
Context	**Identify and prioritize high-impact AI use cases and assess the underlying capabilities** (e.g., tech, data, talent, op. model, change mgmt.) required to deliver on the roadmap	**Leverage OTS AI tools** (e.g., ChatGPT Enterprise, Co-Pilot) to address priority use cases with some customization, enabling rapid deployment and value capture	**Build and integrate a subset of tools to create a common user experience,** enabling aspects of data ingestion, and incorporating bespoke components	**Design and build a fully bespoke AI solution** tailored to client-specific requirements, offering maximum flexibility, scalability, and integration potential
Timeline	4-6 weeks	2-3 months	2-3 months	3-4 months (MVP) + scale up

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Key learnings for GPs on the AI journey

Anchor efforts to ROI

Every AI initiative should be tied to a measurable outcome (e.g., increased deal velocity, quicker red flag identification, lower fund costs) with success metrics defined upfront

Kill pilots early if the value case doesn't hold

Differentiated data to maintain an insight edge

As generic AI capabilities commoditize, the funds that win will be those with differentiated data assets – proprietary deal flow signals, portfolio operating data, or sector-specific pattern libraries

Invest early in codifying and connecting your institutional knowledge as this is the moat that off-the-shelf tools cannot replicate



Human behavior as important as the Tech

Senior investment professionals have built judgment over decades – AI adoption fails when it asks them to abandon deeply entrenched workflows that feel core to decision making

Start with removing friction by augmenting existing behaviors and invest in change management and capability building

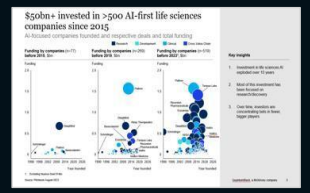
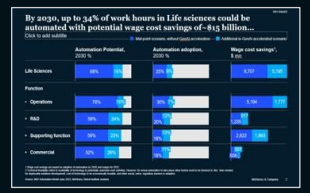
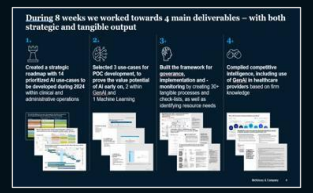
Keep the North star in mind, but sequence pragmatically

Define what "AI-enabled" looks like at full maturity across the investment lifecycle – then work backwards to sequence achievable steps that build toward it and create momentum

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We've served investors across the globe on using AI across the fund

Selected case examples

	Case 1: Asian leading PE investor	Case 2: Global leading PE investor	Case 3: Investment arm of leading pension fund	Case 4: Globally life science investor	Case 5: Global GrowthTech secondaries fund
Context	AI/GenAI investment strategy, use-case prioritization and implementation for leading Asian investor	AI/GenAI strategy in fund operations, and product build to accelerate firm's AI capabilities for flagship use case	AI/GenAI strategy focused on synthesizing company knowledge and building a tech platform for future innovations	Integrated AI strategy across investment strategy, portfolio value creation and fund operations	Designed a strategy and blueprint for a new AI-enabled and digitally-native fund, with tech-first workflows and differentiated data
AUM	~30bn USD	~200bn USD	~600bn USD	~150bn USD	~5bn USD
Approach and Impact	• Developed list of priority AI use cases through investor interviews and industry best practices • Designed execution approach and roadmap • Implemented 10 priority use cases and rolled these out across the entire organization	• Created GenAI use case roadmap • Developed plan for AI Center of Excellence • Deployed McKinsey Product Manager on secondment • Created PE professional process map and aligned use case roadmap based on process map pain points	• Created a platform that supports complex data access requirements, structured & unstructured data, and future tech enhancements • ~50k searchable unstructured documents • 50%+ coverage of internal experts	• Supported sector strategy reviews with AI lense across all global teams • Built playbooks for AI value creation and top-of-house organization • Built strategy for internal use of AI, incl. domain prioritization, buy/vs build and approach for adoption and capability building	• Developed technology vision and strategy centered around 10 digital-first, AI capabilities • Prioritised use cases across each business unit, mapped across e2e workflows • Designed blueprint for target-state technology architecture • Developed build roadmap, incl. buy/build/partner approach and associated business case
					

Client contacts available upon request

1. Capital formation | Case study: Automating the DDQ / RFP completion activity delivered ~20-50% effort reduction

Context

Large global alternative asset manager looking to significantly grow AUM over the coming years, particularly driven by expansion in the Wealth channel which would drive a material increase in fundraising activity and investor coverage

DDQ / RFP completion identified as the most time-intensive activity across execution teams, particularly for junior people i.e., analysts and associates

The increasing workload implied a **need for additional headcount under a "do nothing" scenario**

The asset manager engaged McKinsey to identify **automation opportunities to support scaling of fundraising activity without proportional increases in headcount**

Approach

- **Conducted a build vs buy assessment and selected a vendor-led approach** based on availability of mature, specialized DDQ automation solutions
- **Performed a detailed vendor assessment (incl. RFI)** across leading providers and selected a solution based on functionality, scalability, and fit for purpose
- **Configured the platform to centralize DDQ workflows** and enable structured reuse and auto-population of recurring response content
- **Applied iterative optimization based on usage patterns,** focusing on high-volume DDQ sections and improving response consistency over time
- **Validated realized effort reduction through full rollout and scaled adoption across relevant teams**

Impact

~20-50%

Effort reduction

~20% reduction achieved in early adoption phase through standardization and reuse

~50% reduction expected at steady state through iterative optimization and increased structured reuse

2. Investment process and portfolio management| Scaling AI in PE to enhance decision quality and portfolio value

Context and approach

Context

- **Asian** PE fund with **30bn+ AUM**
- Set a **bold ambition to stay at the forefront of AI in PE**
- **Early stage of AI journey** with nascent AI and tech capabilities in-house
- Large scale portfolio with **30+ portcos across Asia**

Approach

- **Designed a holistic strategy and roadmap** to identify use cases, define execution sprints and **select a vendor solution**
- **Launched firmwide AI adoption and embedded AI fluency** through training and change management
- **Developed and scaled custom AI agents** to enhance decision quality and efficiency

Impact we achieved

25	AI use cases identified spanning productivity, investment and fund operation workflows
100%	Firmwide AI adoption of AI tools in daily workflows across investment and operating teams
81%	Of colleagues actively using custom agents
6	Custom AI agents developed and deployed firmwide
82	New AI agents built by employees of the company

Takeaways



Strategy first

Anchor on a roadmap to prioritize use cases and guide investment in tools



People led

Embed AI fluency through training, change management and empower employees



Move fast

Capture early wins with quick-to-deploy use cases to test, learn and build momentum

3. Support functions | Operating model transformation for a top-5 global multi-strategy GP

Context

Multi-strategy GP experienced multiple challenges across its US fund operations

Data integrity and quality

Lack of integration and manual systems created fragmented, duplicative data lacking “single source of truth”

Fragmented operating model

Over-reliance on operations staff (especially CFO), “soft-insourcing” and duplication of efforts due to capability gaps of outsourced vendors

Suboptimal investor experience

Multiple investor portals, processes and interaction points, compounding data integrity issues and delivering poor experience for LPs

Approach

Diagnose Current State

- Performed comprehensive process mapping for select asset classes / funds to identify process inefficiencies / breakdowns
- Mapped core roles to standardized taxonomy and benchmarked against best-in-class
- Assessed current state operating model against key in-house / outsourced decision frame-work considering costs, risks, and performance impact

Designed Future State

- Defined over-arching strategy for operations and middle/back office
- Developed options for a future state operating model with key activities moved to outsourced vendor
- Identified potential use cases for GenAI/automation and sequenced by highest impact (e.g., investor report generation)

Impact being captured

20-30% Reduction in time spent by COO / CFO teams on manual, repetitive tasks

+ 15 pts Improvement in investor NPS score after more streamlined process was implemented


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